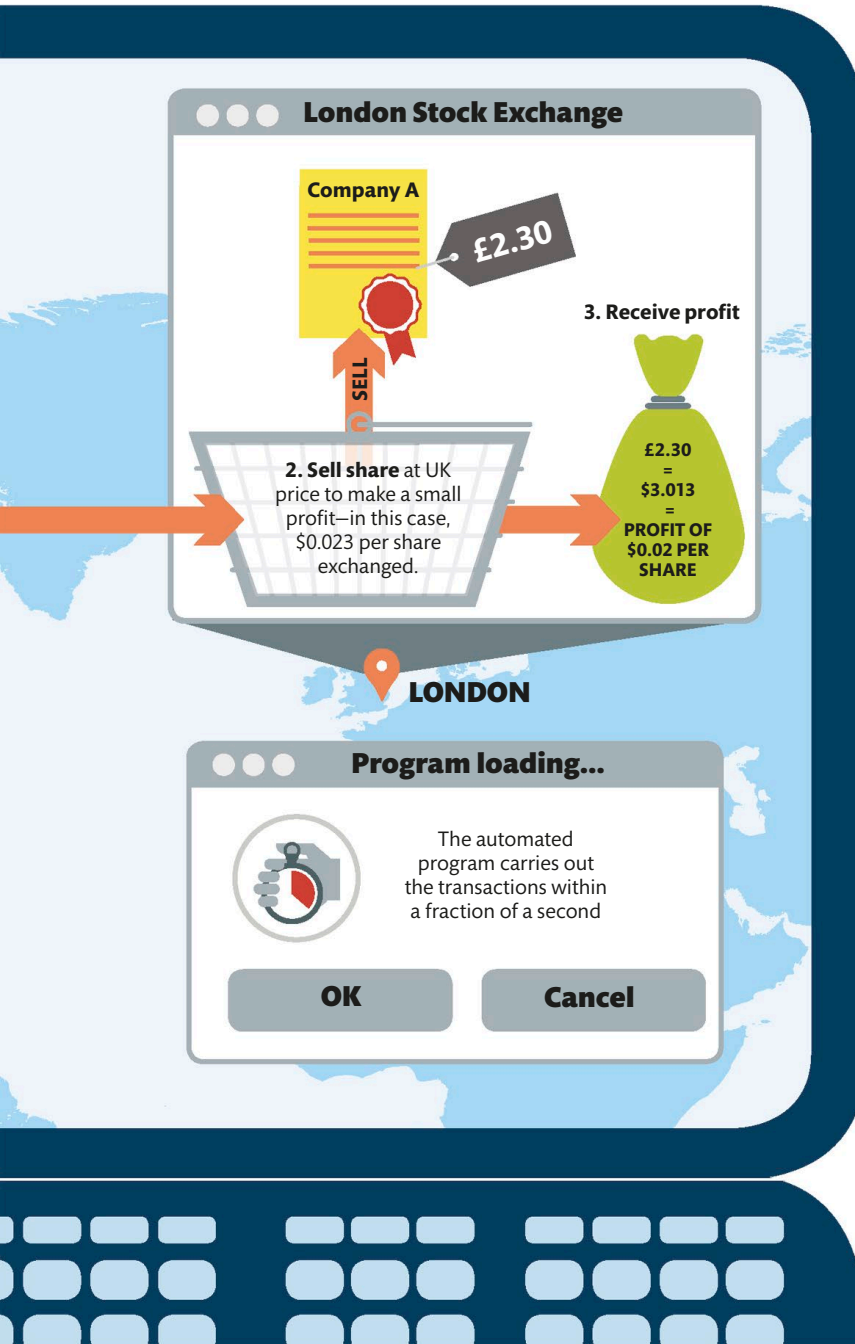




How it works

Arbitrage is the practice of buying a tradeable asset in one market and almost simultaneously selling it at a higher price in a different market. Conversely, it is also the practice of selling an asset in one market and

buying it for a cheaper price in another. Arbitrage, as currently practiced in stock and bond markets, is only possible due to the computing power now available, so large volumes of transactions can exploit small differences in prices within milliseconds.



WHEN ARBITRAGE GOES WRONG

In 1998, hedge fund Long-Term Capital Management (LTCM) lost \$4.6 billion as a result of arbitrage trades in bonds that went wrong.

The price difference between the bonds being traded was relatively small, so in order to make a profit LTCM had to carry out large volumes of trades. These trades were also highly leveraged using billions of dollars borrowed from other financial companies.

This high leverage and the 1998 Russian financial crisis prompted investors to move their capital to less risky investments. LTCM sustained huge losses and was in danger of defaulting on its loans. The US government had to intervene in order to prevent a collapse of the debt markets and damage to the global economy.

60%
of US equity trading
was estimated to
be High-Frequency
Trading at its height
in 2009